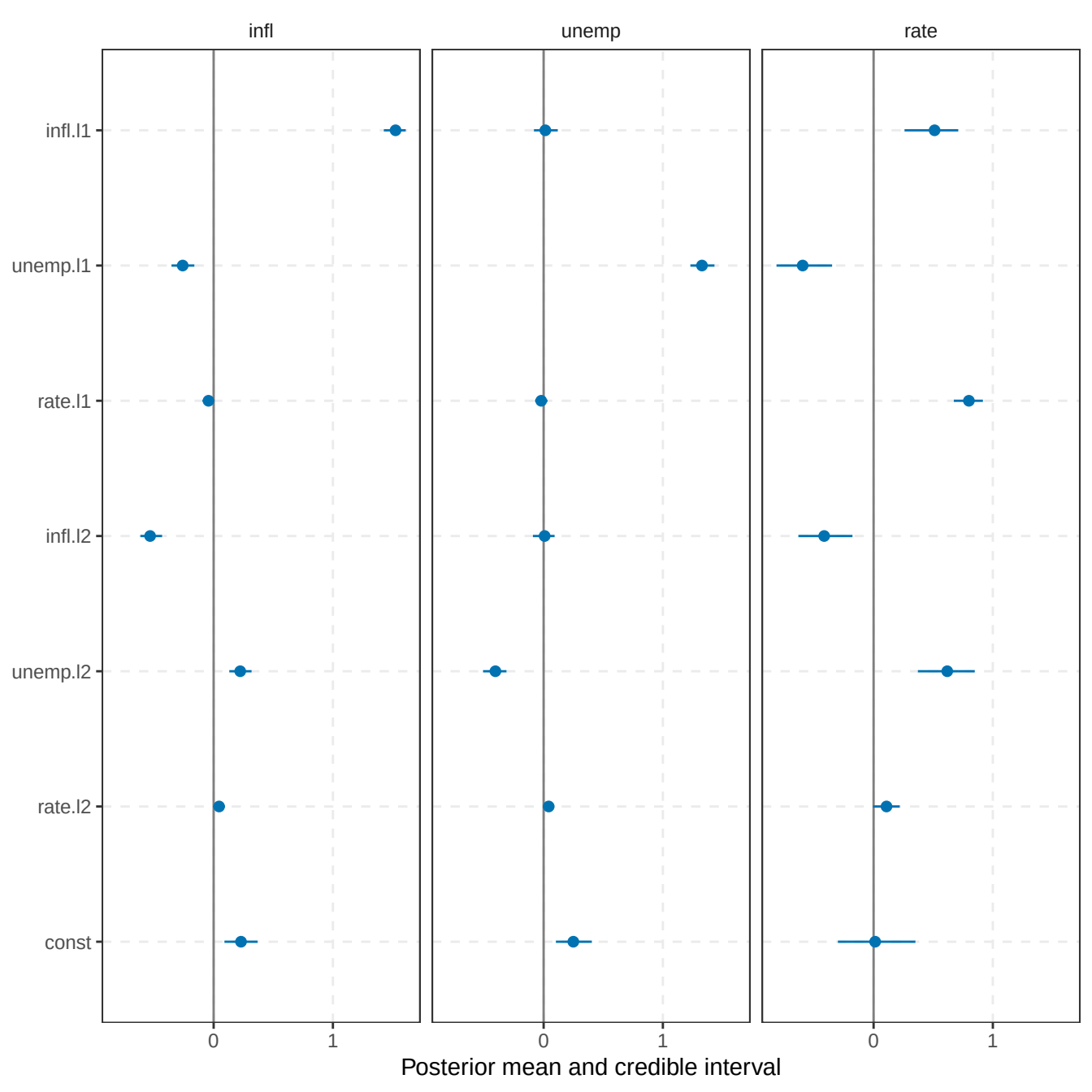
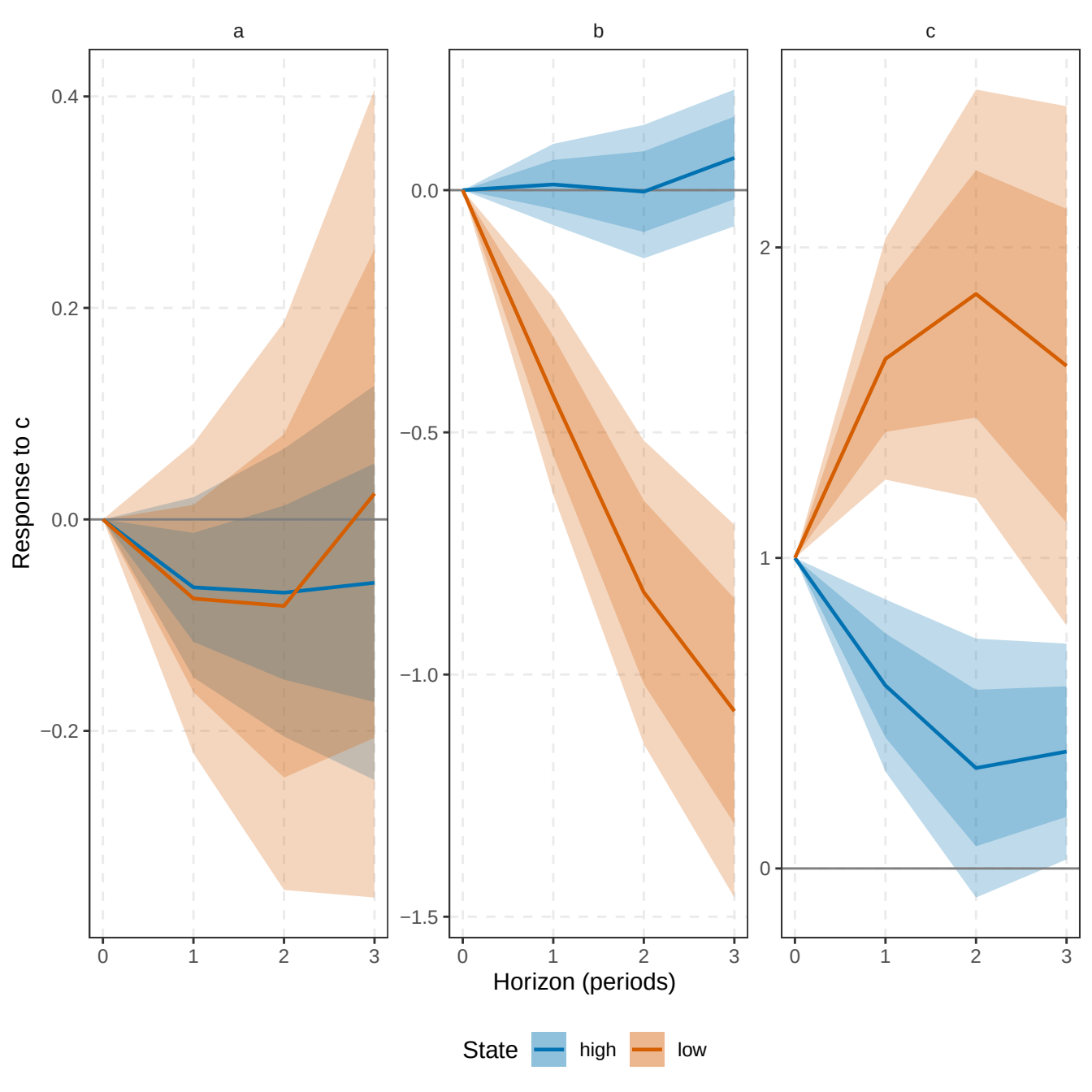
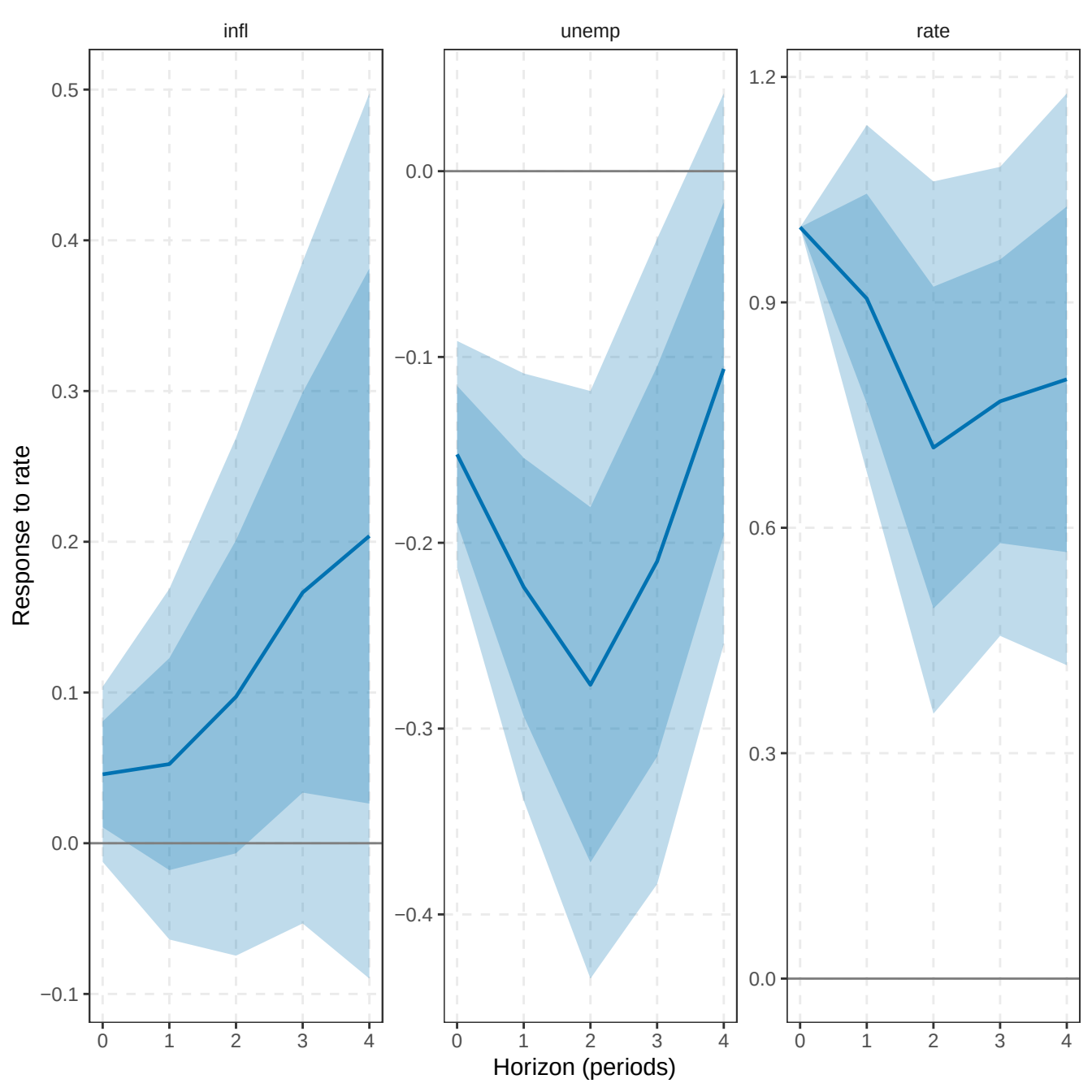

infl
unemp
rate
infl.l1
unemp.l1
rate.l1
infl.l2
unemp.l2
rate.l2
const
0
1
0
1
0
1
Posterior mean and credible interval


a
b
c
Response to c
0.4
0.2
0.0
−0.2
0.0
−0.5
−1.0
−1.5
2
1
0
0
1
2
3
Horizon (periods)
State
high
low


infl
unemp
rate
Response to rate
Horizon (periods)
0.5
0.4
0.3
0.2
0.1
0.0
−0.1
0.0
−0.1
−0.2
−0.3
−0.4
1.2
0.9
0.6
0.3
0.0
0
1
2
3
4